Q2 MANAGEMENT REPORTING AND INVESTOR MATERIALS
APPROVED DEFINITIONS AND CONTROL FRAMEWORK

Alder Ridge Mechanical | Effective for the 2026-06-30 close and FY27 planning cycle

Authority and version control

Use executed agreements and signed policies for definitions, controller-reviewed workpapers for current management assumptions, raw exports for their stated cutoff, and Vista ERP for posted Alder Ridge populations. Earlier workbooks and banker cases are retained for audit history only.

Required control principles

Keep posted, pro-forma, forecast, external-market, and transaction-target measures separately labeled. Preserve units and periods. Reconcile bridges and roll-forwards without plugs. Management preference does not override approval status, contractual definitions, or stated risk limits.

Q2 investor and lender KPI fact sheet

Build LTM metrics from the four quarterly source rows and remove acquisition revenue only from the Q2 organic-growth numerator.

Free cash flow equals quarterly operating cash flow less capital expenditure; do not substitute EBITDA conversion.

Credit metrics use posted funded debt and LTM adjusted EBITDA; FCCR denominator includes interest, taxes, maintenance capex, and distributions.

Q2 board performance dashboard

Rebuild Q2 from April through June branch records and reconcile the independently mapped population to posted YTD revenue.

Use the latest approved June reforecast, not the board plan or April working forecast.

Free cash flow equals operating cash flow less capex; rank misses by the documented dollar impact and retain source-specific definitions.

June executive performance review

Rebuild Q2 from April through June branch records and reconcile the independently mapped population to posted YTD revenue.

Use the latest approved June reforecast, not the board plan or April working forecast.

Free cash flow equals operating cash flow less capex; rank misses by the documented dollar impact and retain source-specific definitions.

Q2 earnings and lender narrative

Rebuild Q2 from April through June branch records and reconcile the independently mapped population to posted YTD revenue.

Use the latest approved June reforecast, not the board plan or April working forecast.

Free cash flow equals operating cash flow less capex; rank misses by the documented dollar impact and retain source-specific definitions.

For the compact controller-tie headline table, use the branch-mapped Board Performance basis for Q2 revenue, adjusted EBITDA, free cash flow, maximum downside revolver, and latest approved outlook. Calculate IR-comparable organic growth after removing current-quarter acquisition revenue and dividing by the prior-year comparable revenue from the comparability bridge. Present GAAP-posted and IR-comparable measures separately and label their distinct bases; do not substitute either for the required headline table.

Earnings guidance range and probability bridge

Calculate scenario EBITDA from revenue, gross margin, and opex before probability weighting, then show the separate risk-register overlay.

Do not apply the risk register a second time to scenario free cash flow; it is already embedded in that controlled source.

Set guidance to the narrowest contiguous scenario interval meeting the board's minimum confidence and round outward only to approved increments.

Identify the largest probability-weighted downside EBITDA driver and keep internal expected values distinct from public ranges.

Run the signed combined-risk stress in addition to the probability-weighted guidance case. Start from the Base scenario, add every risk-register revenue impact at its full signed face value (not probability weighted), then apply the incremental revenue shock. Do not separately add the risk register's EBITDA-impact column in this stress because the approved combined-stress policy replaces that overlay with its gross-margin and variable-opex mechanics. Apply the gross-margin shock to final stressed revenue and the opex response to the total revenue change from the Base scenario.

Report headroom to the published EBITDA low end separately from the update decision. The formal guidance-update trigger is the published EBITDA low end less the approved update buffer; backsolve the additional revenue decline from the combined stress to that lower trigger and set the update flag only when that trigger is breached.

restated investor KPI fact sheet

Restate all four quarters to the current approved adjusted-EBITDA definition before calculating trends or LTM leverage.

Adjusted EBITDA in the Restated quarterly KPI series is already on the current approved definition. EBITDA change equals current-definition EBITDA less historical reported EBITDA and is used only to reconstruct and display the historical-to-restated bridge; do not add it to the current series again.

Use the controlled prior-year comparatives only for Q2 growth and do not restate values already supplied on the current definition.

Free cash flow is operating cash flow less capex; net debt uses Q2 funded debt less unrestricted cash.

The fact sheet must visibly reconcile reported-to-restated quarterly EBITDA and include trend, leverage, and source controls.

Add the acquisition and disposal bridge needed to calculate organic quarterly revenue growth, and keep investor net leverage separate from the lender's covenant EBITDA and unrestricted-cash definition.

Show LTM cash conversion, organic Q2 growth, covenant net leverage, the leverage-definition gap, and a zero quarterly EBITDA restatement bridge check.

CFO strategic-finance board deck

Rebuild branch revenue, gross profit, opex, and EBITDA from the controller-tied outlook before creating board headlines.

Show forecast revenue versus the $47.92 million Board-approved AOP; keep the current branch comparator separate. Rebuild branch EBITDA versus that current comparator and identify the largest negative branch variance.

Calculate Base, Downside, and Severe cash, revolver headroom, and leverage on the approved covenant basis; flag each breached guardrail.

Present total probability-weighted strategic-priority benefit and the separately executable Approved plus Gated amount; distinguish Approved, Gated, Conditional, and Deferred actions with explicit decision gates and source notes.

Add a board decision portfolio that enforces the FY27 cash budget, maximum active initiatives, named dependencies, status eligibility, and Severe-case benefit factors.

The deck must distinguish the unconstrained priority list from the executable optimized portfolio and show selected spend, probability-weighted Base benefit, Severe benefit, and post-action Severe leverage and cash. Because the pre-action Severe case already breaches both guardrails even with no initiatives, those inherited guardrails are diagnostic decision gates rather than portfolio-feasibility filters. After the selected portfolio, draw the remaining revolver only toward the minimum cash floor, cap the draw at remaining commitment, and report any residual unfunded shortfall.

System reconciliation schedule

Analysis	Accounting-system reconciliation
Q2 investor and lender KPI fact sheet	Vista ERP balance sheet as of 2026-06-30; accounts 2200, 2210, and 2300; Vista ERP P&L, 2025-07-01 through 2026-06-30; Revenue total
Q2 board performance dashboard	Vista ERP P&L, 2026-01-01 through 2026-06-30; Revenue total
June executive performance review	Vista ERP P&L, 2026-01-01 through 2026-06-30; Revenue total
Q2 earnings and lender narrative	Vista ERP P&L, 2026-01-01 through 2026-06-30; Revenue total
Earnings guidance range and probability bridge	No Alder Ridge ledger tie required
restated investor KPI fact sheet	No Alder Ridge ledger tie required
CFO strategic-finance board deck	No Alder Ridge ledger tie required